

Customer Retention Playbook

Key KPIs

- Churn Rate: % customers lost per period.
- Retention Rate: $1 - \text{Churn Rate}$.
- Customer Lifetime Value (CLV): expected revenue per customer.
- ARPU: Average Revenue Per User.
- Precision@K / Lift@K: model targeting quality.
- AUC / ROC: ranking performance.
- Cost-to-Retain vs Recoverable Revenue: campaign ROI.

Retention Playbook

Goal: Score customers by churn risk, explain drivers, and run targeted retention campaigns.

Segments & Actions: High-risk VIPs (top 2%): 1:1 outreach + personalized offer. High-risk medium-value (top 10%): SMS/email + tailored offer. Medium-risk (next 20%): nurture content and delayed promotion.

Offers & Rules: Prefer non-monetary remedies first (service credits, expedited support). Reserve discounts for highest CLV and cap budget per period.

Measurement: Track Precision@K, Lift, recovered revenue, churn reduction, and ROI. A/B test offers.

Ops: Daily scoring job, push top-K lists to CRM, log outreach and outcomes, weekly governance review.

Measurement & Ops: Track outcomes, run A/B tests, and iterate weekly.